

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. COSCO SHIPPING LINES CO., LTD. AND
MSC MEDITERRANEAN SHIPPING COMPANY SA

**COMPLAINANT MCS INDUSTRIES, INC.'S MEMORANDUM IN OPPOSITION
TO RESPONDENT MSC MEDITERRANEAN SHIPPING COMPANY SA'S
MOTION TO DISMISS THE COMPLAINT IN ITS ENTIRETY,
OR AS TO COUNT V IN THE ALTERNATIVE FOR SUMMARY DISPOSITION**

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PRELIMINARY STATEMENT

Complainant MCS Industries, Inc. (“Complainant”), by and through its undersigned attorneys, files this memorandum in opposition to Respondent MSC Mediterranean Shipping Company SA’s (“Respondent”) motion to dismiss Complainant’s July 28, 2021 Verified Complaint (the “Initial Complaint”) in its entirety or, as to Count V of the Initial Complaint, in the alternative for summary disposition (the “Motion”). Respondent’s Motion is just the latest in a growing list of examples of Respondent seeking to play by its own rules, without regard to its statutory, regulatory, and contractual obligations to Complainant and to the Federal Maritime Commission (the “Commission”). After refusing to comply with its discovery obligations under the Commission’s Rules of Practice and Procedure (the “Rules”), which necessitated a motion to compel by Complainant that the Presiding Officer granted in full by Order dated December 8, 2021 (and pursuant to which Respondent, nearly a month later, has yet to produce *any* additional information or a *single* additional document), Respondent now seeks to challenge not only the sufficiency of the Initial Complaint, but the Commission’s very jurisdiction over this case, while at the same time prematurely seeking summary decision *before* providing the very documents and information necessary to complete the factual record of the case.

Disregarding the Presiding Officer’s admonition that motion practice would be more efficient *after* fact discovery is completed, Respondent’s Motion tramples the applicable legal standard of review, cherry-picking snippets of a far-from-complete factual record in yet another attempt to rewrite the plain language of the Initial Complaint to fit Respondent’s own preferred—and inaccurate—view of this case as a mere breach of contract action. The timing of Respondent’s Motion is even more curious in light of Complainant’s own proposed Verified Amended Complaint currently pending before the Presiding Officer (the “Amended Complaint”), which the undersigned counsel provided to Respondent’s counsel *before* Respondent chose to file its Motion.

Respondent apparently believes that ignoring Complainant's Amended Complaint, which sets forth in even greater detail the alleged unjust and unreasonable practices that are the subject of this case, is preferable to addressing it on the merits. Instead, Respondent's Motion merely rehashes the same meritless legal arguments that MSC previously raised in its unsuccessful opposition to Complainant's motion to compel, urging the Presiding Officer to adopt novel statutory interpretations that would effectively write the statutory protections invoked by Complainant out of the Shipping Act entirely.

As argued in Complainant's motion for permission to file the Amended Complaint, that amended pleading renders Respondent's Motion moot, obviating the need for the Presiding Officer to consider or rule on the Motion. If the Presiding Officer were to consider the Motion notwithstanding Complainant's proposed Amended Complaint, for the reasons stated herein, Respondent's Motion should be denied in its entirety, and any motion for summary disposition should be deferred until after Respondent has complied with the Presiding Officer's Order granting Complainant's motion to compel and discovery in this case has been completed.

APPLICABLE LEGAL STANDARDS

A. Motion to Dismiss

Consistent with Rule 12 of the Commission's Rules, 46 C.F.R. § 502.12, motions to dismiss private party complaints before the Commission for lack of subject-matter jurisdiction and for failure to state a claim are evaluated under Rules 12(b)(1) and 12(b)(6) of the Federal Rules of Civil Procedure, respectively, and federal case law interpreting those rules. *See, e.g., Marine Transp. Logistics, Inc. v. CMA-CGM (America) LLC*, Dkt. No. 18-07, 2019 WL 5206007, at *2 (FMC ALJ Oct. 8, 2019); *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011). Accordingly, with respect to Respondent's challenge to the Commission's subject-matter jurisdiction over Counts I, II, and V of the Initial Complaint, the Presiding Officer

must “examine[] whether the complaint has sufficiently alleged subject matter jurisdiction.”

Mitsui O.S.K. Lines Ltd., 32 S.R.R. at 136.¹

With respect to the balance of Respondent’s Motion:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009).

Marine Transp. Logistics, Inc., 2019 WL 5206007, at *2 (quoting *Mitsui O.S.K. Lines Ltd.*, 32 S.R.R. at 136) (alteration in original).

This standard does not . . . require “heightened fact pleadings of specifics” or detailed factual allegations. *Twombly*, 550 U.S. at 555, 570. . . . Further, Rule 12(b)(6) does not require “the pleading of specific evidence or extra facts beyond what is needed to make the claim plausible.” *Arista Records LLC v. Doe 3*, 604 F.3d 110, 120–21 (2d Cir. 2010).

Maher Terminals, LLC v. Port Auth. of N.Y & N.J., 34 S.R.R. 35, 58 (FMC 2015); accord *Marine Transp. Logistics, Inc.*, 2019 WL 5206007, at *3. “Instead, ‘the complaint’s factual allegations [simply] must be enough to raise a right to relief above the speculative level and must nudge claims across the line from conceivable to plausible.” *Marine Transp. Logistics, Inc.*, 2019 WL 5206007, at *3 (quoting *Maher Terminals, LLC*, 34 S.R.R. at 57–58) (internal quotations omitted). As Respondent acknowledged in its opposition to Complainant’s motion to compel, *see* Complainant’s Mot. to Compel & Respondent’s Counterstatements & Opp’n at 10, the cornerstone of the Rule 12 standard of review is that all well-pleaded factual allegations in the complaint must

¹ Rule 12(b)(1) motions can be either “facial” or “factual” in nature, with the latter potentially implicating matters outside the pleadings. *See, e.g., Mitsui O.S.K. Lines Ltd.*, 32 S.R.R. at 136. Though Respondent improperly cites to matters outside the pleadings in its arguments that certain of Complainant’s causes of action fail to state a claim (i.e., under Rule 12(b)(6)), Respondent’s jurisdictional arguments in the Motion focus on the allegations of the Initial Complaint, and therefore constitute a facial attack on the Commission’s subject-matter jurisdiction over Counts I, II, and V of the Initial Complaint. *See, e.g., Mot.* at 5 n.2 (seeking to incorporate by reference the current service contract between Complainant and Respondent *without* converting its motion to one for summary disposition).

be assumed to be true and construed in the light most favorable to the non-moving party (here, Complainant). *See, e.g., Marine Transp. Logistics, Inc.*, 2019 WL 5206007, at *2–3; *accord Maher Terminals, LLC*, 34 S.R.R. at 58; *see also Mitsui O.S.K. Lines Ltd.*, 32 S.R.R. at 136 (under Rule 12(b)(1), “[a]s it does when considering a Rule 12(b)(6) motion to dismiss for failure to state a claim, the court construes the complaint in the light most favorable to the plaintiff and accepts all well-pled facts alleged . . . in the complaint as true”) (quoting *Sinaltrainal v. Coca-Cola Co.*, 578 F.3d 1252, 1260 (11th Cir. 2009)).

Since Respondent filed this Motion approximately four months after its August 26, 2021 Verified Answer to the Initial Complaint, while discovery in this case is still ongoing, Respondent’s motion would most properly be construed as a Rule 12(c) motion for judgment on the pleadings. *See Fed. R. Civ. P. 12(c)*. As the Presiding Officer explained in a recent decision in another case:

A Court will grant judgement on the pleadings only if it is clear that no relief could be granted under any set of facts that could be proved consistent with the allegations. If there are allegations in the complaint which, if proved, would provide a basis for recovery, the Court cannot grant judgement on the pleadings. Accordingly, all factual doubts must be resolved in favor of the plaintiff. The standard of review under Rule 12(c) is essentially the same as that for a motion to dismiss under Rule 12(b)(6).

Marie Carew d/b/a/ Holiday Shipping v. Maersk Line A/S, Dkt. No. 20-17, 2021 WL 1400176, at *2 (FMC ALJ Apr. 8, 2021) (citing *Lightfoot v. Dist. of Columbia*, No. Civ.A. 04-1280(RBW), 2006 WL 54430, at *2 (D.D.C. Jan. 10, 2006)).

B. Motion for Summary Decision

Respondent’s Motion also purports, without elaboration, to seek in the alternative “summary disposition” of Count V of the Initial Complaint. *See Mot.* at 1, 8 & 12. Given that Respondent’s Motion does not conform to the requirements for motions for summary decision set forth in the Presiding Officer’s Initial Order in this case, *see Aug. 4, 2021 Initial Order* ¶ 15,

Respondent's current Motion cannot be considered such a motion.² To the extent the Motion's passing references to summary disposition and/or citations to matters outside the pleadings were intended to suggest the possibility of the Presiding Officer *converting* the Motion, or any portion of the Motion, into a motion for summary decision, such a step would be premature and unwarranted. Although Rule 12(d) of the Federal Rules of Civil Procedure provides that "[i]f, on a motion under Rule 12(b)(6) or 12(c), matters outside the pleadings are presented to and not excluded by the court, the motion must be treated as one for summary judgment under Rule 56", that Rule also requires that "[a]ll parties must be given a reasonable opportunity to present all the material that is pertinent to the motion." Moreover, "[c]ases involving allegations of 'undue' or 'unreasonable' preferences and prejudices and the like have required a proper development of the facts and are usually not decided summarily", and "courts are careful not to deny complainants a reasonable opportunity to prove their allegations and will construe doubts in the non-moving complainants' favor." *S.C. Mar. Servs., Inc. v. S.C. State Ports Auth.*, Dkt. No. 99-21, 1999 WL 1294895, at *2 (FMC ALJ Dec. 9, 1999).

ARGUMENT

A. The Factual Allegations in Complainant's Initial Complaint Are More than Sufficient and Are Further Developed in Complainant's Amended Complaint.

"The factual allegations needed to reach plausibility will vary depending on the complexity of the case, 'both to give the opposing party *notice of what the case is all about* and to show how, in the *plaintiff's* mind, the dots should be connected.'" *Maher Terminals, LLC*, 34 S.R.R. at 58 (quoting *Swanson v. Citibank, N.A.*, 614 F.3d 400, 405 (7th Cir. 2010)) (emphasis added). Despite Respondent's persistent attempts to misconstrue Complainant's Initial Complaint and transform it

² In the event the Presiding Officer were to consider any aspect of Respondent's Motion as a motion for summary decision, Complainant reserves its right to prepare and file a separate opposition to such motion in conformity with the requirements of the Commission's Rules and the Initial Order in this case.

into something it is not,³ the Initial Complaint’s detailed factual allegations gave Respondent ample notice of what this case is all about: namely, Respondent’s practices, including its alleged practice of depriving Complainant and other shippers of their respective contractually agreed space allotments and instead selling that capacity on a spot-market basis at higher prices, unreasonably refusing to deal or negotiate in that connection, and taking actions (like other ocean carriers) such as “blank sailings” to prop up, and subsequently increase to exorbitant levels, ocean carriage pricing during the ongoing COVID-19 pandemic. *See, e.g.*, Verified Compl. ¶¶ 4–13, 15, 17–18, 30–32, 42–44. Any suggestion that Complainant’s Initial Complaint did not contain sufficient factual (or legal) detail could have been addressed by a motion for more definite statement under Rule 67 of the Commission’s Rules, 46 C.F.R. § 502.67, which Respondent chose not to file in this case.

Likewise, the Initial Complaint was quite clear in alleging how Complainant believes the dots between its factual allegations and its legal causes of action are connected. It claimed, with straightforward references to the applicable provisions of the Shipping Act, that Respondent’s alleged conduct constituted unjust and unreasonable practices that resulted in Respondent providing service not in accordance with Complainant’s (and other shippers’) service contracts, and instead unfairly and unjustly discriminating against, and giving undue and unreasonable prejudice and disadvantage to, Complainant (and other such shippers) with respect to the ports identified in those service contracts. Along the same lines, the Verified Complaint clearly alleged that Respondent’s conduct constituted an unreasonable refusal to deal or negotiate with

³ By way of example, Respondent continues to raise at every opportunity certain of the Initial Complaint’s background/contextual allegations about industry structure, including the existence of alliances among ocean carriers and certain parallel actions allegedly taken by multiple ocean carriers since the start of the global COVID-19 pandemic. *See, e.g.*, Mot. at 9, 11, 13–14. Although Respondent trumpets that Complainant has “now abandoned claims of collusion”, *id.* at 14, the Initial Complaint *never* alleged any causes of action under the antitrust laws or any theory of unlawful conspiracy or collusion, but instead only alleged causes of action under the Shipping Act.

Complainant in the course of negotiating and/or providing service pursuant to the service contract. The Presiding Officer's Order granting Complainant's motion to compel acknowledged the nature of Complainant's claims, explaining that, in this case, "MSC Mediterranean Shipping's practices are at issue, not just the actions taken on specific bookings", and that "MCS Industries' claim goes beyond these particular bookings to MSC Mediterranean Shipping's practices and MCS Industries is entitled to discovery regarding those practices." Dec. 8, 2021 Order Granting Motion to Compel at 6–7, 10.

Moreover, Complainant's proposed Amended Complaint contains substantial *additional* factual allegations, including numerous internal and external communications by Respondent's employees and agents regarding the practices alleged in this case and its negotiations and dealings with Complainant in connection with their service contracts. To the extent the Presiding Officer were to find any infirmity in the factual allegations of the Initial Complaint, the Presiding Officer should, consistent with Commission Rule 12 and Rule 15(a) of the Federal Rules of Civil Procedure, "freely give leave" to Complainant to file its Amended Complaint (or a further amended pleading, as the Presiding Officer may determine) and deny Respondent's motion as moot.⁴

⁴ As noted in Complainant's motion for permission to file the Amended Complaint, Complainant provided Respondent with an unsigned draft of the Amended Complaint in advance of filing and offered to confer with Respondent in accordance with the requirements of Rule 71(a) of the Commission's Rules, 46 C.F.R. § 502.71. Instead of conferring in good faith, Respondent chose to file the instant Motion without notice or an opportunity to confer, apparently hoping that filing this Motion would somehow delay or undermine the Presiding Officer's consideration of the Amended Complaint or provide a basis for an argument that Complainant should not be allowed to amend. Respondent should not be rewarded for its gamesmanship. If the Presiding Officer were to determine that any portion of Respondent's Motion is meritorious, then Complainant should be granted leave to prepare and file an amended complaint addressing any issues raised by the Motion or the Presiding Officer's ruling on it, especially given that the instant Motion is the first motion Respondent has ever directed to the pleadings in this case.

B. Counts I, II, and V of the Initial Complaint State Appropriate Causes of Action under the Shipping Act over Which the Commission Properly Has Subject-Matter Jurisdiction.

Respondent's Motion argues that Counts I, II, and V of Complainant's Initial Complaint state nothing more than simple breach of contract claims that, in Respondent's view, do not constitute legally cognizable Shipping Act claims and therefore deprive the Commission of subject-matter jurisdiction over them. Respondent's arguments, however, would require the Presiding Officer to disregard the plain language of both the Initial Complaint and the Shipping Act, and should be rejected, just as such arguments have been rejected in prior cases—and in the Presiding Officer's Order granting Complainant's motion to compel in this case. *See, e.g.,* Dec. 8, 2021 Order Granting Motion to Compel at 10 ("MCS Industries' claim goes beyond these particular bookings to MSC Mediterranean Shipping's practices and MCS Industries is entitled to discovery regarding those practices.").

As a threshold matter, the mere possibility that Respondent's alleged conduct could constitute *both* breaches of its service contracts *and* violations of the Shipping Act in no way requires Complainant to pursue its potential breach of contract claims first (or at all), or to pursue both sets of potential claims simultaneously, especially when those sets of claims would have to be brought in different forums. Nor would that fact rob the Commission of subject-matter jurisdiction over Complainant's causes of action under the Shipping Act—even if either party were to institute a separate litigation or arbitration in connection with their service contracts. As the Presiding Officer explained in a recent decision in another case, "even when there is litigation between the parties in other courts, the Commission has an obligation to determine whether an entity has violated the Shipping Act." *Greatway Logistics Grp., LLC, v. Ocean Network Express Pte. Ltd.*, Dkt. No. 21-04, 2021 WL 3090768, at *2 (FMC ALJ July 16, 2021). Consequently:

“While [46 U.S.C. § 40502(f)] reasonably precludes the Commission from adjudicating breach of contract claims, the courts more properly equipped to address those matters are not authorized to address Shipping Act matters exclusively within the Commission’s jurisdiction. Such issues are not addressed in actions for breach of contract and no remedy for such violations would be provided in a breach of contract action. Moreover, . . . reliance on the Commission to pursue such violations *sua sponte* in its investigatory role would eviscerate the reparations remedy afforded complainants by the statute. Therefore, we find that the ALJ should proceed to consider those claims.”

Id. at *3 (quoting *Cargo One, Inc. v. Cosco Container Lines Co. Ltd.*, 28 S.R.R. 1635, 1645 (FMC 2000); *see also Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc. v. Uti, United States, Inc.*, Dkt. No. 17-08, 2018 WL 2356145, at *13, 1 F.M.C.2d 103, 118 (FMC ALJ May 18, 2018) (“Commission precedent establishes that an arbitration provision does not deprive the Commission of its authority to determine whether a respondent committed Shipping Act violations.”). The existence of a service contract between the parties containing language requiring arbitration of breach of contract claims ““does not outweigh the Commission’s duty to protect the public by ensuring that service contracts are implemented in accordance with the Shipping Act.”” *Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc.*, 2018 WL 2356145, at *13, 1 F.M.C.2d at 118 (quoting *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 998 (FMC 2006)).

Although the Initial Complaint alleges the existence of a service contract between Complainant and Respondent, *see, e.g.*, Verified Compl. ¶ 40, as well as conduct by Respondent in connection with that service contract, *see, e.g., id.* ¶¶ 42–44, the Initial Complaint nowhere alleges any cause of action sounding in contract (or, for that matter, any cause of action under the antitrust laws or any theory of unlawful conspiracy). Instead, all of Complainant’s causes of action are for alleged violations of the Shipping Act—including, of course, provisions of the Shipping Act that specifically apply to ocean carrier conduct in connection with service contracts.

Moreover, the Initial Complaint alleges that Respondent's actions with respect to Complainant were not isolated incidents specific to Complainant, but instead part of ***broader practices by Respondent impacting not only Complainant, but other shippers, as well***. See, e.g., Verified Compl. ¶¶ 12, 18, 24, 46. Complainant's proposed Amended Complaint sets forth those broader practices in even greater detail, quoting explicit statements by Respondent's own employees and agents about such practices and the fact that they were being implemented with respect to other shippers, as well. See, e.g., Am. Compl. ¶¶ 40 (MSC employee telling Complainant that "better revenue [i.e., from other shippers] is getting more space" and that "if customers [i.e., shippers such as, but not limited to, Complainant] need more space, we are going to have to increase revenue."), 59 (MSC employee telling Complainant that the "majority of accounts [i.e., other shippers] have accepted" Respondent's demand for peak season surcharges ("PSS") above and beyond existing rates), 69 (MSC employee urging Complainant to pay PSS because "cargo with higher rates [i.e., from other shippers] may have priority"), 70 (MSC employee telling Complainant that "[e]veryone [i.e., other shippers] is accepting" PSS on top of existing rates). Complainant's claims allege far more than, for example, "straightforward breach of contract claims for alleged failures to charge what was agreed upon per the agreement, bill correctly, substantiate charges, and calculate a documentation fee properly", *Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc.*, 2018 WL 2356145, at *18, 1 F.M.C.2d at 124, or mere "questions of fact and interpretations of the service contract", such as those at issue in *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Dkt. No. 13-07, 2014 WL 5316345, at *20 (FMC ALJ Apr. 17, 2014). Consequently, 46 U.S.C. § 40502(f) is no bar to Complainant's causes of action under the Shipping Act in this case—including Complainant's claim that Respondent's conduct constituted provision of service in the liner trade (or, indeed, ***failure*** to provide such service) not

in accordance with its service contract with Complainant. *See, e.g., Global Link Logistics, Inc.*, 2014 WL 5316345, at *11 (“Section 40502(f) does not deprive the Commission of jurisdiction over all disputes about service contracts, however.”).⁵ Contrary to Respondent’s arguments, to conclude otherwise would effectively write 46 U.S.C. § 41104(a)(2)(A) out of the Shipping Act entirely.

As noted above, arguments such as Respondent’s have been raised—and rejected—in prior cases, and should be rejected in this case, as well. In *Marine Transport Logistics, Inc. v. CMA- CGM (America) LLC*, the respondent moved to dismiss a complaint alleging violation of several of the same provisions of the Shipping Act invoked in this case: namely, 46 U.S.C. §§ 41102(c), 41104(a)(9), and 41104(a)(10). There, as here, the respondent argued that the complainant’s claims were mere breach of contract claims that were subject to dismissal pursuant to 46 U.S.C. § 40502(f). *See, e.g., Marine Transp. Logistics, Inc.*, 2019 WL 5206007, at *6–7. The Presiding Officer rejected those arguments and denied the motion to dismiss, noting that the complainant’s amended complaint (which the Presiding Officer granted leave to file in the same order) did not allege breaches of contract, but instead violations of the Shipping Act, and therefore “the existence of a service contract would not be grounds to dismiss the proceeding where Shipping Act violations are alleged.” *Id.* at *7.

⁵ Respondent’s extensive reliance on *Global Link Logistics, Inc.* for its arguments to the contrary is misplaced, as that case came before the Commission in a very different posture and is readily distinguishable. In that case, the respondent ocean carrier had first demanded payment for liquidated damages allegedly owed to it under its service contract with the complainant shipper and had demanded arbitration of that matter pursuant to an arbitration clause in the service contract. *See* 2014 WL 5316345, at *7. The shipper responded by filing a case before the Commission, alleging, *inter alia*, on the basis of the parties’ alleged prior course of dealing that the ocean carrier had violated the Shipping Act by refusing to reduce its rates from those agreed in the service contract and reduce the shipper’s contractual minimum quantity commitment to match the shipper’s actual bookings during the term of the service contract—in other words, by *refusing to vary* from the terms of the parties’ written service contract. *See id.* If anything, the posture here is reversed, with Complainant alleging violations of the Shipping Act including conduct that was *not* in accordance with the parties’ service contract. Moreover, as the Presiding Officer has already noted in a prior Order, Complainant’s claims in this case go beyond specific transactional issues under the parties’ service contract and implicate Respondent’s broader practices. *See* Dec. 8, 2021 Order Granting Motion to Compel at 6–7, 10.

More recently, in *Greatway Logistics Grp., LLC v. Ocean Network Express Pte. Ltd.*, the Presiding Officer denied the respondent’s motion to stay that action pending certain developments in a parallel litigation pending in federal district court. Unlike the district court action, which alleged breach of contract claims, the action before the Commission alleged, *inter alia*, violation of 46 U.S.C. § 41102(c). Although the parallel actions were “based on the same two bills of lading”, the Presiding Officer determined that “the Commission and the district court are adjudicating different issues” and concluded that, “[a]s Shipping Act violations are raised in this proceeding and respondent is a regulated entity, the Commission has jurisdiction over this proceeding.” *Greatway Logistics Grp., LLC*, 2021 WL 3090768, at *1, *4.

The same analysis applies in this case. Indeed, the Presiding Officer has already rejected Respondent’s arguments in connection with Complainant’s motion to compel. The arguments Respondent raises in its Motion are the same arguments that Respondent raised, unsuccessfully, in its opposition to Complainant’s motion to compel. *See* Complainant’s Mot. to Compel & Respondent’s Counterstatements & Opp’n at 7–8. As the Presiding Officer noted in the Order granting Complainant’s motion to compel, “MSC Mediterranean Shipping’s practices are at issue, not just the actions taken on specific bookings.” Dec. 8, 2021 Order Granting Mot. to Compel at 6–7. For all of these reasons, Counts I, II, and V of Complainant’s Initial Complaint all state appropriate causes of action under the Shipping Act over which the Commission properly has subject-matter jurisdiction, and Respondent’s motion to dismiss for lack of subject-matter jurisdiction should be denied.

C. Counts III and IV of the Initial Complaint State Valid Causes of Action under the Shipping Act.

Respondent also argues that Counts III and IV of the Initial Complaint, which invoke 46 U.S.C. §§ 41104(a)(5) and 41104(a)(9), respectively, fail to state claims because they do not allege

discrimination “as to ports.” Mot. at 5. Respondent boldly states—notably without citation—that “those provisions prohibit discrimination only with respect to ports and not with respect to shippers.” *Id.* Here again, these arguments in Respondent’s Motion are the same ones that Respondent raised in its opposition to Complainant’s motion to compel, and that the Presiding Officer apparently rejected in granting that motion. *See* Complainant’s Mot. to Compel & Respondent’s Counterstatements & Opp’n at 18, 73.

As an initial matter, Respondent’s argument ignores the plain language of Complainant’s Initial Complaint, which explicitly alleges discrimination, prejudice, and disadvantage “***with respect to the ports*** for which MCS contracted with” Respondent; i.e., “***the ports*** identified in each respective service contract”. Verified Compl. ¶¶ 26–27, 50, 52 (emphasis added). Respondent’s argument also misconstrues the nature of Counts III and IV, as reflected by the authorities that Respondent cites.

Respondent’s argument relies on a discussion of legislative history surrounding the Ocean Shipping Reform Act of 1998, Pub. L. 105-258 (“OSRA”); specifically, legislative comments concerning OSRA’s elimination of so-called “me-too” rights: i.e., demands by shippers with service contracts that an ocean carrier provide them the same terms as those provided in the ocean carrier’s other, more favorable service contracts with other similarly situated shippers. *See* Mot. at 6–7 & n.3. As discussed below, that issue is not implicated in this case and, even if it were, Respondent’s selective citation to legislative comments is neither authoritative nor binding on the Presiding Officer in deciding the Motion. The case law Respondent cites for this argument addresses the same irrelevant “me-too” rights issue.

Complainant’s claims in this case do not allege discrimination, prejudice, or disadvantage based on the terms of other shippers’ service contracts with Respondent, but instead allege

discrimination, prejudice, and disadvantage based on Respondent's conduct with respect to particular ports identified in Complainant's service contract with Respondent (in particular, the ports of Qingdao and Tianjin, China, as well as Ningbo, China in the Amended Complaint). As alleged in the Initial Complaint (and in greater detail in the Amended Complaint), Complainant contends that Respondent undertook a practice of failing to provide contracted space allocations to Respondent, and, upon information and belief, to other shippers, at certain of the ports identified in its service contracts in order to be able to sell that space from those ports on a spot-market basis at higher prices. Complainant's motion to compel sought—and the Presiding Officer, in granting that motion, has ordered Respondent to produce—discovery concerning not only Complainant's specific booking attempts with Respondent from those ports, but Respondent's conduct with respect to those ports generally; i.e., with respect to all shippers that sought carriage by Respondent from those ports, whether under a service contract or Respondent's tariff during the relevant time periods. Notably, Respondent has not yet complied with the Presiding Officer's December 8, 2021 Order granting Complainant's motion to compel and has not yet produced a single additional document pursuant to it, claiming without explanation that "Swiss legal issues" are preventing Respondent from complying with its discovery obligations in a timely fashion. That forthcoming discovery from Respondent is a necessary source on which Complainant will rely to prove the discrimination, prejudice, and disadvantage that it alleges with respect to the ports of Qingdao and Tianjin (and Ningbo, under the Amended Complaint). Respondent should not be permitted to ignore the Presiding Officer's order compelling the production of documents while at the same time moving to dismiss on the basis of a still-incomplete factual record.

Accordingly, just as the Presiding Officer concluded in *Marine Transport Logistics, Inc. v. CMA-CGM (America) LLC* with respect to another claim under 46 U.S.C. § 41104(a)(9), the

claims in Complainant’s Initial Complaint (and, *a fortiori*, Complainant’s proposed Amended Complaint) “will require discovery and Complainant will be able to further develop the factual basis for these claims”, and since “it is plausible that the facts will support a claim under these sections”, these causes of action should “not be dismissed at this point in the proceeding.” 2019 WL 5206007, at *6. Respondent’s motion to dismiss Counts III and IV of the Initial Complaint should be denied.

D. Respondent’s Further Arguments Regarding Count V Misconstrue That Claim and Impermissibly Reach Beyond the Pleadings to a Still-Incomplete Factual Record.

Respondent’s Motion proceeds to cherry-pick testimony from the first depositions in this case⁶ in a further effort to attack Count V of Complainant’s Initial Complaint, which alleges unreasonable refusal to deal or negotiate under 46 U.S.C. § 41104(a)(10). Mot. at 9–12. Once again, however, Respondent’s argument here is based on a misreading of the Initial Complaint. Moreover, Respondent’s selective citations to the partially developed discovery record in this case are procedurally improper and should be disregarded under the applicable standard of review. *See, e.g., Marine Transp. Logistics, Inc.*, 2019 WL 5206007, at *3 (under Rule 12(b)(6) the Presiding Officer must “construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint.”) (quoting *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620–21 (FMC 2014)). Notably, however, even if such citations were appropriate for the Presiding

⁶ No employees, agents, or corporate representatives of Respondent have yet provided deposition testimony in this case, and Respondent still has not completed its document production, which is, of course, necessary to prepare for and take those depositions. Notably, Respondent claimed that the deposition of Respondent’s corporate designee(s), which Complainant had timely noticed for December 1, 2021, could not have been practicably undertaken on that date due to the need to prepare for the topics of inquiry listed in Complainant’s deposition notice, and that deposition was correspondingly postponed. Accordingly, as with the documentary record, the deposition record in this case is one-sided due to Respondent’s decisions to flout its discovery obligations.

Officer's consideration of the Motion, nothing in them invalidates or requires the dismissal of Complainant's cause of action under 46 U.S.C. § 41104(a)(10).

The Initial Complaint alleged unreasonable refusal to deal or negotiate in two respects. *First*, it alleged that Respondent “refused to provide MCS sufficient commitments in [its] advance service contract[], instead providing only a fraction of the space MCS needed at substantially higher prices, which MCS accepted in order to secure such space, believing that such higher prices would fully compensate Respondent[] for current market disruptions” Verified Compl. ¶ 30. *Second*, it alleged that Respondent's practice of failing to provide Complainant with its contractual space allocations in the course of “providing service to MCS pursuant to [its] service contract . . . constitutes unreasonable refusal to deal or negotiate with MCS” *Id.* ¶¶ 42–44, 54. Complainant's proposed Amended Complaint sets forth Respondent's alleged unreasonable refusals to deal or negotiate in further detail, alleging “a systematic refusal to deal with Complainant [and Complainant's agents] that resulted in the failure to book Respondent's shipments”, a refusal “to provide sufficient information to allow Complainant to verify whether Respondent and its agents were properly booking Complainant's cargo”, and refusal to deal with Complainant “unless Complainant agreed to PSS”. *See* Verified Am. Compl. ¶¶ 81, 85, 89; *accord id.* ¶¶ 72–80, 82–84, 86–88.

With respect to the first aspect of Count V, Respondent claims that early deposition testimony in the case contradicts the allegations of the Initial Complaint (which the Presiding Officer is required, at this stage, to assume as true). *See* Mot. at 10–12.⁷ Although Respondent

⁷ To the extent Respondent offers these matters outside the pleadings as a purported basis for seeking summary decision on Count V, which the Motion mentions in passing, such an effort is both procedurally defective, since it does not conform to the requirements for motions for summary decision set forth in the Presiding Officer's Initial Order in this case, *see* Aug. 4, 2021 Initial Order ¶ 15, and premature, coming while substantial additional discovery is still outstanding from Respondent.

purports to cite testimony that “establishes” this contradiction “irrefutably”, the selective testimony that Respondent cites does nothing of the sort, and Respondent nowhere cites other evidence demonstrating that it actually provided a commitment to Complainant for all of the space Complainant needed for the current shipping year. To the contrary, Respondent acknowledges in the Motion that “MSC offered a quantity of 1400 TEUs”—an amount substantially smaller than Complainant’s total space needs for the current shipping year—and ultimately negotiated Complainant’s initial award of 660 TEUs upward to 728 TEUs. *Id.*⁸ Such propositions are not inconsistent with the allegations of the Initial Complaint discussed above, which address the total amount of space Complainant needed for the current shipping year. Moreover, Respondent’s argument here that it wanted a greater quantity of Complainant’s cargo for the current shipping year than what was contracted is, at most, an ironic red herring given that this case arose because Respondent initially failed to actually carry even the smaller volumes of cargo contemplated by the service contract.

Respondent’s Motion does not appear to address the second aspect of Count V, concerning Respondent’s unreasonable refusal to negotiate or deal with Complainant in the course of providing service pursuant to the current service contract. As detailed above, that aspect of Count V is set forth in more granular detail in Complainant’s Amended Complaint. *See Verified Am. Compl.* ¶¶ 72–89. Since the Motion therefore provides no basis for dismissing either aspect of Count V, for the foregoing reasons, and in light of the applicable standard of review, Respondent’s motion to dismiss (or, in the alternative, for summary disposition of) Count V should be denied.

⁸ Consistent with the standard of review applicable to Respondent’s Motion, this memorandum in opposition does *not* seek to implicate matters outside of the pleadings, and correspondingly will not engage in a detailed discussion of Respondent’s selective use of incomplete discovery materials from this case in its Motion, beyond noting that such use is both procedurally inappropriate and impermissibly premature in light of ongoing discovery in the case.

E. Complainant's Amended Complaint Renders Respondent's Motion Moot.

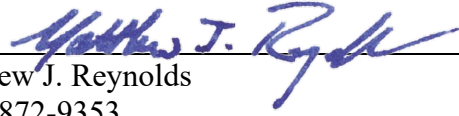
As noted above, Respondent filed the instant Motion despite having previously received from the undersigned counsel (1) notice that Complainant was further investigating Respondent's conduct during the 2020–2021 shipping year and (2) an unsigned copy of Complainant's proposed Amended Complaint, along with notice that Complainant would be imminently moving for permission to file it. As argued in that motion, filed on the same day as Respondent's Motion, the Presiding Officer "should freely give leave" to amend pleadings "when justice so requires." Fed. R. Civ. P. 15(a)(2). As argued herein, the arguments in Respondent's Motion do not justify dismissal of any claim in the Initial Complaint, and *a fortiori* would not justify dismissal of those claims as realleged in greater detail in the Amended Complaint. At a minimum, Complainant's Amended Complaint renders Respondent's Motion moot, in which case the Presiding Officer should require Respondent to respond to the Amended Complaint, instead of expending time and effort considering the obsolete arguments raised in Respondent's now-superseded Motion.

CONCLUSION

For the reasons stated above, as well as those stated in Complainant's motion for permission to file its Verified Amended Complaint, Complainant respectfully requests that the Presiding Officer (1) deny Respondent's motion to dismiss in its entirety, (2) decline to consider (or convert) any portion of Respondent's motion to dismiss as a motion for summary decision, and (3) defer any motion for summary disposition until after Respondent has complied with the Presiding Officer's Order granting Complainant's motion to compel and fact discovery has been completed.

Dated: January 7, 2022

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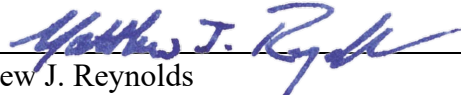
Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondent MSC Mediterranean Shipping Company SA by emailing copies of those documents to its counsel of record listed below:

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